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Report Name: New Rules on Agricultural Land Sales in Romania

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Post: Bucharest

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Report Highlights:

In August 2020, Romania amended its agricultural land sale law following almost two years of debate in the Romanian Parliament. Law 175/2020 is scheduled to enter into force in mid-October 2020. It restricts non-Romanian farmland ownership and penalizes land owners selling farmland prior to eight years after the purchase date.

Summary of the New Rules

In early June 2020, the Romanian Parliament approved a new draft law regarding agricultural land sales following two years of parliamentary debate. After a politically-charged legal challenge to the draft, Romania's Constitutional Court ruled in mid-July 2020 that the draft was constitutional. In mid-August 2020, Romania's President signed Law 175/2020, which defines preemption right holders, their order, and the conditions for natural persons or companies to acquire agricultural land. Regarding preemption right holders, first-degree preemptors are co-owners, immediate family and spouses, and other relatives. Second-degree preemptors are investors for tree crops, viticulture, hops, private irrigation system owners and/or tenants on the land subject to sale. Third-degree preemptors are the owners and/or tenants of the agricultural land in the immediate area of the land subject to sale. Fourth-degree preemptors are young farmers, the Academy of Agricultural and Forest Sciences, and agricultural research stations or agricultural schools. Other preemptors include natural persons living in the immediate area of the land for sale, and the Agency for Public Domain.

If no preemption right holders are interested in purchasing the land, natural citizens may purchase land if their primary residence has been in Romania for the past at least five years, they have conducted agricultural activities for the past at least five years, and they have been registered with the local fiscal authorities for the past at least five years. Commercial companies may also consider purchasing if their headquarter has been in Romania for the past at least five years, they have conducted agricultural activities for the past at least five years, they can demonstrate that at least 75 percent of revenue from the past five years was generated by agricultural activities, the main shareholder has resided in Romania for at least five years. If none of the potential buyers – natural or commercial entities – meets these qualifications for purchasing the land, then any other entity may apply.

A tax penalty of up to 80 percent of profits can be applied if land is sold within eight years from the date of purchase, a percentage applied to the difference between the purchase and sale price. This rule is applied to all types of buyers.

The documents certifying compliance with the above-mentioned conditions will be set through the enforcement rules. The law shall be enforced 60 days after publication, in this case, October 13, 2020. The enforcement rules shall be published within 15 days thereafter.

Farmers Support the Law

Large Romanian farmer groups strongly support the law and actively participated during parliamentary debates while the amendment was drafted. Farmer organizations hailed the law's enactment, while noting minor deficiencies to be corrected later. These groups cited concerns about large-scale land grabs by foreign entities or investment groups, noting some have acquired large tracts of land. These farmer groups and other civil society organizations in Romania have criticized the dearth of accurate data regarding Romanian agricultural land ownership and the inability of the executive and legislative branches to restrict land sales to foreigners. Various sources estimate that up to 10 percent of agricultural land is owned by investors from third countries and about 20-30 percent is controlled by investors from other EU countries.

While the law is widely supported by farmers, the text raised concerns for non-agricultural businesses. For instance, petroleum companies view the law as an obstacle in purchasing agricultural land for petroleum exploration and extraction, since the law provisions prohibits changing in the land utilization.

Agricultural Land Price is on an Upward Trend

Many Romanian farmers are interested in purchasing leased land from landlords, although many cite high land prices as prohibitive. Farmland prices are determined by many factors, including size, status of legal ownership, road access, irrigation access, lease rate, soil quality, soil favorability for certain crops, etc. In recent years, Romanian farmland prices have consistently increased. Currently, farmland prices have plateaued in some areas, while the growth trend continues in other areas. The farmland in western Romania tends to be the most expensive. Prices are lower in eastern regions, or areas which are not predominantly agricultural. Despite uptick in land values, a large agricultural land price gap remains between Romania and Western European countries.

Attachments:

No Attachments.